



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Period Ended 31 March 2023

For the	Quarter Ended 31 March		Year ended 31 March	
	2,023 Rs. Unaudited	2,022 Rs. Audited	2,023 Rs. Unaudited	2,022 Rs. Audited
Income	1,059,211,209	837,056,105	3,791,749,601	2,972,208,857
Interest income	980,938,473	757,522,458	3,595,381,527	2,709,169,183
Interest expenses	(767,352,039)	(309,568,216)	(2,601,092,901)	(1,159,466,921)
Net interest income	213,586,434	447,954,242	994,288,626	1,549,702,262
Fee and commission income	32,440,814	38,732,936	105,891,971	102,104,674
Other operating income	45,831,923	40,800,711	90,476,103	160,935,000
Total operating income	291,859,170	527,487,889	1,190,656,700	1,812,741,936
Impairment charges for loans and receivables to customers	14,233,783	(60,169,205)	(69,091,266)	(124,539,825)
Net operating income	306,092,952	467,318,684	1,121,565,434	1,688,202,111
Operating expenses				
Personnel expenses	(162,258,977)	(248,488,979)	(660,911,199)	(605,009,612)
Depreciation and amortization	(43,474,229)	(2,614,346)	(115,192,318)	(81,232,809)
Other operating expenses	(108,498,626)	(30,253,366)	(359,331,394)	(399,197,920)
Operating profit/(loss) before Tax on financial services	(8,138,880)	185,961,993	(13,869,477)	602,761,770
Tax on Financial services	(11,914,526)	(61,846,519)	(46,611,266)	(149,764,604)
Profit /(loss) before income tax	(20,053,406)	124,115,474	(60,480,743)	452,997,166
Income tax (expense)/reversal	2,693,068	(1,043,566)	(1,957,089)	-
Profit/(loss) for the year	(17,360,337)	123,071,908	(62,437,832)	452,997,166
Other Comprehensive Income (Expenses)				
Other Comprehensive Income to be reclassified to profit or Loss in subsequent periods				
Fair Value gain/(Loss) on Investment in Quated shares / T Bond	23,513,715	(20,868,252)	19,344,000	(12,019,740)
Other Comprehensive Income to be reclassified to profit or Loss in subsequent periods				
Actuarial gain/(loss) on retirement benefit plan	1,742,836	3,203,144	1,742,836	3,203,144
Deferred tax effect on above	(522,851)	-	(522,851)	768,755
Total comprehensive income for the period net of tax	7,373,362	105,406,799	(41,873,846)	444,949,325
Basic earnings per share (Rs.)	(0.08)	0.58	(0.30)	2.14

Figures in brackets indicate deductions.

Colombo
31 May, 2023

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At 31st March

	2023 Rs.	2022 Rs.
	Unaudited	Audited
ASSETS		
Cash and cash equivalents	309,135,509	296,439,735
Financial assets - fair value through other comprehensive income	1,262,879,732	725,704,749
Loans and receivables	12,979,495,618	14,125,811,999
Investments with banks and other financial institutions	236,013,310	242,460,738
Other assets	657,440,796	255,411,953
Real estate stock	10,656,618	9,338,093
Deferred tax asset	369,120,870	371,600,809
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	25,357,814	37,899,935
Property, plant and equipment	67,050,922	84,505,805
Right-of-use of Assets	106,754,194	115,496,075
Investment properties	659,700,002	662,150,002
Total assets	17,484,031,129	17,727,245,639
LIABILITIES		
Due to banks - bank overdrafts	240,846,238	680,571,641
Deposits from customers	10,759,498,576	9,204,263,013
Interest bearing borrowings	2,606,197,269	3,874,859,251
Lease liability - Rights of use assets	58,051,357	76,660,167
Other liabilities	476,983,447	514,908,252
Retirement benefit obligations	52,448,752	44,103,980
Total liabilities	14,194,025,639	14,395,366,304
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	375,736,747	375,736,747
Revaluation reserve	141,120,773	141,120,773
Retained earnings	341,268,930	383,142,776
Total equity	3,290,005,489	3,331,879,335
Total equity and liabilities	17,484,031,129	17,727,245,639
Net assets per share	15.58	15.78

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd.
Manjula Tennakoon
Chief Financial Officer

Sgd.
K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board;

Sgd.
Rajendra Theagarajah
Chairman

Sgd.
Prakash Schaffter
Director

Colombo
31 May, 2023

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the Period ended 31st March 2023

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2021 (Audited)	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/(Loss) for the year	-	-	-	452,997,166	452,997,166
Transfer to statutory reserve	-	45,299,717	-	(45,299,717)	-
Other comprehensive income (expense) net of taxes	-	-	-	(8,047,841)	(8,047,841)
Balance as at 31st March, 2022	<u>2,431,879,039</u>	<u>375,736,747</u>	<u>141,120,773</u>	<u>383,142,776</u>	<u>3,331,879,335</u>
Balances as at 1st April 2022 (Audited)	2,431,879,039	375,736,747	141,120,773	383,142,776	3,331,879,335
Profit/ (Loss) for the year				(62,437,832)	(62,437,832)
Transfer to statutory reserve					-
Transfer to Revaluation reserve					-
Other comprehensive income (expense) net of taxes				20,563,986	20,563,986
Balance as at 31st March, 2023	<u>2,431,879,039</u>	<u>375,736,747</u>	<u>141,120,773</u>	<u>341,268,930</u>	<u>3,290,005,489</u>

Figures in brackets indicate deductions.

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ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the year ended 31st March

	2023 Rs.	2022 Rs.
Cash flows from operating activities		
Profit before income tax	(62,437,832)	452,997,166
Adjustment for:		
Depreciation and amortization	115,192,318	81,232,809
Profit on disposal of property, plant and equipment	(144,367)	(483,465)
Property, plant and equipment writte off		3,197,024
Impairment charges for loans and receivables to customers	69,091,266	124,539,825
Impairment provision on real estate receivable	-	16,277,733
Finance expenses	2,601,092,901	1,159,466,921
Fair value gain on investment properties	(10,633,538)	(10,650,000)
Investment income	(219,639,763)	(69,006,866)
Provision for gratuity	14,576,192	9,182,059
Operating profit before working capital changes	2,507,097,177	1,766,753,206
Change in loans and receivables to customers	1,077,225,115	(2,803,321,484)
Change in other assets	(388,876,839)	14,337,774
Change in deposits from customers	1,555,235,562	534,878,008
Change in other liabilities	23,377,039	80,021,285
	4,774,058,055	(407,331,211)
Rent Paid	(63,166,611)	(73,674,667)
Interest paid	(1,458,687,956)	(826,252,882)
Gratuity paid	(4,267,628)	(1,679,673)
Net cash from/(used in) operating activities	3,247,935,860	(1,308,938,433)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(76,309,067)	(58,431,303)
Proceeds from sale of property, plant and equipment		525,669
Expenses incurred for real estate stock	(1,318,525)	(851,308)
Net change in financial assets-FVTOCI	(327,229,392)	111,908,325
Net change in investments with bank and other financial institutions	16,141,600	(165,074,916)
Net cash generated from/(used in) investing activities	(388,715,383)	(111,923,533)
Cash flows from financing activities		
Interest bearing borrowings obtained	5,231,266,664	6,966,523,171
Repayment of interest bearing borrowings	(6,373,671,609)	(5,697,482,046)
Interest paid on borrowings	(1,264,394,355)	(378,292,116)
Net cash from (used in) financing activities	(2,406,799,300)	890,749,009
Net change in cash and cash equivalents	452,421,177	(530,112,957)
Cash and cash equivalents at the beginning of the year	(384,131,906)	145,981,051
Cash and cash equivalents at the end of the year	68,289,271	(384,131,906)
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	222,627,839	230,339,894
Cash at bank	86,507,669	66,099,841
Bank overdrafts - secured	(240,846,238)	(680,571,641)
	68,289,271	(384,131,906)

Figures in brackets indicate deductions.

Colombo
31 May, 2023

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has five reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Pawning - Provision of loans against gold
- e) Others

For the year ended 31 March	Finance leases, Hire purchases		Loans		Factoring		Pawning		Others		Total	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Interest income	1,949,610,565	1,946,542,127	142,672,558	151,428,161	21,695,332	3,927,145	1,261,763,310	538,264,885	219,639,763	69,006,865	3,595,381,527	2,709,169,183
Fee and commission income	25,598,880	64,879,926	41,953,688	-	717,197	2,062,165	-	-	37,622,207	35,162,583	105,891,971	102,104,674
Other income	44,349,645	81,498,103	-	-	-	-	-	-	46,126,458	79,436,897	90,476,103	160,935,000
Total segmental income	2,019,559,089	2,092,920,156	184,626,246	151,428,161	22,412,529	5,989,310	1,261,763,310	538,264,885	303,388,428	183,606,345	3,791,749,601	2,972,208,857
Less: Interest expense	(1,385,392,329)	(816,453,959)	(126,651,300)	(59,072,546)	(15,374,715)	(2,336,446)	(865,553,882)	(209,978,625)	(208,120,675)	(71,625,344)	(2,601,092,900)	(1,159,466,921)
Segmental results	634,166,760	1,276,466,197	57,974,945	92,355,615	7,037,814	3,652,864	396,209,428	328,286,260	95,267,753	111,981,001	1,190,656,701	1,812,741,936
Depreciation and amortization	(61,353,654)	(57,201,156)	(5,608,895)	(4,138,651)	(680,886)	(163,692)	(38,332,025)	(14,711,203)	(9,216,858)	(5,018,106)	(115,192,318)	(81,232,809)
Impairment charge	(30,943,831)	(57,045,226)	(30,613,292)	(69,824,350)	(6,331,059)	(7,775,165)	3,840,979	11,268,881	(5,044,063)	(1,163,965)	(69,091,266)	(124,539,825)
Other Expenses	(547,199,435)	(707,126,008)	(50,024,472)	(51,162,387)	(6,072,673)	(2,023,582)	(341,874,707)	(181,861,261)	(75,071,306)	(62,034,293)	(1,020,242,593)	(1,004,207,532)
Tax on financial services & Income												
Tax Expenses	(24,826,061)	(105,458,725)	(2,269,575)	(7,630,210)	(275,513)	(301,791)	(15,510,620)	(27,122,262)	(3,729,497)	(9,251,615)	(46,611,266)	(149,764,604)
Profit/(loss) after tax	(30,156,221)	349,635,081	(30,541,289)	(40,399,983)	(6,322,317)	(6,611,367)	4,333,055	115,860,414	248,939	34,513,021	(62,437,832)	452,997,166
Segmental assets	7,944,862,354	10,191,880,202	605,754,288	1,180,388,254	31,621,321	111,235,136	4,483,270,142	3,582,516,137	4,418,523,024	2,661,225,909	17,484,031,129	17,727,245,639
Segmental liabilities	6,452,978,933	8,276,298,697	492,005,964	958,532,241	25,683,481	90,328,300	3,641,403,273	2,909,176,036	3,581,953,989	2,161,031,030	14,194,025,639	14,395,366,304

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2022. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31 March 2022.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

Value of Ordinary Shares (Rs.)
No. of Ordinary Shares

31-Mar-23

2,431,879,039
211,101,155

31-Mar-22

2,431,879,039
211,101,155

Share Price During the Period

Highest (Rs)
Lowest (Rs)
Closing (Rs)

For the Quarter Ended

31-Mar-23

9.20
7.10
8.90

31-Mar-22

22.50
12.00
13.00

NOTES TO THE FINANCIAL STATEMENTS

Shareholders as at 31st March 2023

	Name	No. of Shares	%
1	Janashakthi Limited Account No. 01	93,644,438	44.36%
2	Seylan Bank PLC/Janashakthi PLC	90,000,000	42.63%
3	Seylan Bank PLC/Janashakthi Capital Limited	11,810,999	5.59%
4	First Capital Limited	2,138,299	1.01%
5	DFCC Bank PLC/GAC De Silva	1,049,000	0.50%
6	Sandwave Limited	908,795	0.43%
7	Mr. A. Rajaratnam	704,183	0.33%
8	Merchant Bank of Sri Lanka & Finance PLC/SAA Hasitha	680,000	0.32%
9	Commercial Bank of Ceylon PLC/Janashakthi Limited	555,057	0.26%
10	Mr. RABK Kumara	500,000	0.24%
11	Hatton National Bank PLC/Mushtaq Mohamed Fuad	450,200	0.21%
12	Mrs. IPIL Gunathilaka	406,750	0.19%
13	Mr. RM Hindurangala	389,702	0.18%
14	LOLC Finance PLC/VS Rajasooriyar	375,000	0.18%
15	Mr. LP Mendis	358,695	0.17%
16	Mrs. V. Saraswathi	347,024	0.16%
17	Commercial Bank of Ceylon PLC/D. Ramachandran	300,000	0.14%
18	Hatton National Bank PLC/ KDSR Kulatunga & Mrs. OUK Jayasundara	282,462	0.13%
19	Seylan Bank PLC/Haloluwa Gedara Nilupul Gamini Haloluwa	246,886	0.12%
20	Seylan Bank PLC/Mohamed Mushtaq Fuad	230,000	0.11%
21	Mr. MK. De Livera	207,629	0.10%
22	Mr. P. Ramachandran	200,000	0.09%
	Others	5,316,036	2.52%
	Total	211,101,155	100.00

Directors' Shareholding as at 31st March 2023

	Name of the Director	No. of Shares	%
1	Mr. Rajendra Theagarajah - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Sriyan Cooray	-	-
6	Mr. K.M.M. Jabir	-	-
7	Mr. R.M.D.J. Ratnayake	-	-
8	Mr. Nalin Karunaratne	-	-
	Total	10	

CEO's Shareholding as at 31st March 2023

Mr. K.M.M. Jabir	-	-
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Public Holding as at 31st March 2023

Public Holding	12,952,342
Number of Public Shareholders	874
Public Shareholding Percentage	6.14%
Float Adjusted market capitalization (Rs)	115,358,337

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.